

CONTRARY, BUT CORRECT

Much has been written in the literature of investments on the importance of contrary opinion. Contrary opinion, however, is not enough. I have seen investment people so imbued with the need to go contrary to the general trend of thought that they completely overlook the corollary of all this which is: when you do go contrary to the general trend of investment thinking, you must be very, very sure that you are right. For example, as it became obvious that the automobile was largely to displace the streetcar and the shares of the once favored urban railways began to sell at ever lower price-earnings ratios, it would have been a rather costly thing just to be contrary and buy streetcar securities only on the grounds that because everyone thought they were in a declining stage, they must be attractive. Huge profits are frequently available to those who zig when most of the financial community is zagging, providing they have strong indications that they are right in their zigging.

If a quotation from Shakespeare was a vital force in formulating my policies on the matter, so also, strangely enough, was a popular song from World War I. As one of the very thinning ranks of those who can still remember how the home front reacted in the stirring days of 1918, I might point out that in its excitement and enthusiasm for that war the American public had a naivete then quite different from its grimness about such matters in World War II, when the horrors of war were more clearly understood. Firsthand news of the casualties and the filth and the terror of those in the front lines had not yet permeated the continental United States in 1918. As a result, the popular music of the day was filled with cheerful and humorous war songs in a way that happened on a much smaller scale in World War II, and not at all during the Vietnam fiasco. Most of these songs came out in the form of sheet music for pianos. One of these songs, published with a picture of a proud mama looking down on parading soldiers, had the title, "They're All Out of Step But Jim."

I recognized from the very first that I was running a distinct risk of being "out of step." My very early purchases of Food Machinery and a number of other companies were bought "out of phase." when their intrinsic merit was completely unrecognized by the financial community. I might be